



Scenario 2: You are given Rs. 2000 and two options:

- A. Guaranteed loss of Rs. 500.
- B. Flip of a coin. If it's tails you lose Rs. 1000 and if it is heads you lose nothing.

Which option will you choose?

Research suggests it's more than likely you chose option A in Scenario 1, because there was a guaranteed win of Rs. 500. You acted conservatively and took the opportunity to lock in sure profits. But in Scenario 2 you would most likely choose option B because you did not want to be confronted with a guaranteed loss of Rs. 500. Hence you were willing to take more risks if it meant avoiding losses. It is this bias which makes gamblers so popular with the casinos.

Why is it that when confronted with a sure profit we become conservative and when confronted with a loss we tend to take more risks? It's because the pain of a loss is three times more than the pleasure of an equal amount of gain. Over time pain becomes terrifying and pleasure becomes boring. Consider this. You get an electric shock while using your TV. That will scare you and you will avoid going near the TV till the fault is set right. Now contrast this with the pleasure you get when you buy a car for the first time. After a while you get bored with it and you long for a better and bigger car. It never stops. Your desires keep upgrading because pleasure over time becomes boring.

We tend to see losses and profits in isolation and that is the reason we are more prone to suffer from loss aversion. Hence, we should not view different stocks or different classes of assets individually but as part of the portfolio as a whole. For example, suppose there is a decline of 10 per cent in equities and a rise of eight per cent in bonds, we should look at the overall effect which is only two per cent. Or take the case of a portfolio with 10 stocks, each valued at Rupees one lakh. If two stocks depreciate by 50 per cent, the overall effect on the portfolio is only 10 per cent. But if we were to look at the stocks in isolation we would see it as two stocks losing 50 per cent in value. That's a big shock, and we could make decisions that we repent later.